

while India, despite a larger number of projects, stood a distant second at 12 per cent, up from 3 per cent in 2005. At this rate, while China will capture 66 per cent of Asia's carbon volumes by 2012, India will manage just 20 per cent.

A number of firms have now started taking advantage of such opportunities, says Jotdeep Singh, director and head of renewable energy and carbon credits at Rabo India Finance, an advisory on carbon trading. Buying and selling carbon credits is a detailed process, partly because the market is fragmented. For most companies, the best way is to find an intermediary which can identify a potential buyer and facilitate the deal. Apart from Rabo India, specialists in carbon trading and advisory include Emergent Ventures, Agrinergy, PwC and Ernst & Young. "It's truly an international collaboration," says Ashutosh Pandey, practice leader at Emergent Ventures, a climate change specialist advisory. "I talk to an NGO in the morning, which then talks to a village representative. In the afternoon, I call an accredited designated agency in Germany or France to get my project validated, and in the evening I call the US or Europe to sell carbon credits to be generated by this project, funded possibly by a Japanese bank," he explains.

So far, business has been pouring in from the compliance market. Voluntary markets are also evolving rapidly. According to the World Bank report, 2006 was significant, with many new retailers, brokers, and others entering the market. Between 2005 and 2006, the voluntary offset market grew 200 per cent with companies like Dell, Google, Yahoo and Nike announcing that they will buy offsets. A report by New Carbon Finance adds that voluntary carbon markets have served as sources of innovation and reached the smaller communities in developing countries. The emergence of a carbon exchange, as the Multi Commodities Exchange of India

"The impending expiry of the Kyoto Protocol in 2012 is already impacting new investments in CDM."

RAJESH SHRIVASTAVA, MD, CORPORATE AND COMMERCIAL BANKING, RABO INDIA FINANCE

5 STEPS TO A CLEAN HEAVEN

1 Under the Kyoto Protocol, the international pact that regulates green house gas emissions, industrialised economies receive specific carbon emission targets.

2 Companies that do not have enough credits to offset their emissions must either reduce emissions or buy spare credits.

3 Since cutting emissions is tough, companies buy carbon credits from countries where the costs of emission reduction are lowest.

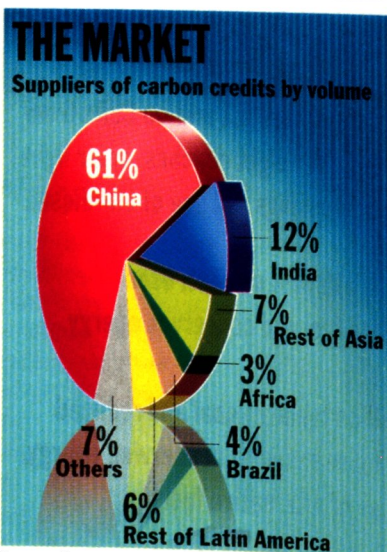
4 Developing economies like India are not expected to meet emission targets. Companies in such countries can earn carbon credits by investing in clean technology.

5 Carbon credits are traded in the international market at a price of around €8-17 per carbon credit, that is, 1 tonne of CO₂.

is planning, could further help Indian firms get a better price.

Carbon footprinting, or the calculation of the value of green house gases emitted during the life cycle of a product or service, is in vogue. For instance, rock band Coldplay gave €33,000 (Rs 19 lakh) towards offsetting damages from the production of its album. British Airways allows passengers to offset CO₂ emissions from their flights by paying for their carbon liability, while British retailer Tesco is measuring the carbon footprint of products from light bulbs to detergents and orange juice to see how it impacts climate change. The Indus Entrepreneurs, a non-profit global network, wants to make its annual entrepreneurial summit, to be held in Delhi, a carbon-neutral event, along the lines of the 2006 FIFA World Cup. It has appointed a consultant to calculate the total energy consumed by taking into account the number of participants and the distance travelled by them. The money from such events is then invested in renewable energy projects that could help mitigate the effects of emissions.

Despite such progress, many questions remain. For instance, how ambitious can emission reduction targets get? Will the projects be sustainable once the CERS are over? What happens once the Kyoto Protocol expires in December 2012? "Negotiations are going on, and at the UNFCCC conference in Bali at the end of the year, it is expected that a decision will be taken in the favour of a possible extension or having a similar system in place post-2012," says Santosh Kumar Singh of Agrinergy Consultancy. Prashant believes the market will lend itself to a different format, along the lines of the European Union Emission Trading Scheme, whereby major emitters of CO₂ within the EU must return an amount as emission allowances to the government. While this may not be enough to save the planet, the wave of eco-friendly consciousness might spur innovation in manufacturing. ■



Source: State and Trends of the Carbon Market 2007

"Carbon credits are a supplemental source of income for companies in developing countries."

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